

AIRO pitch deck

PITCH — AIRO — PROPOSED VERDICT (one line; label clearly “PROPOSED — PENDING ADJUDICATION”)

PROPOSED — PENDING ADJUDICATION: NO POSITION into the 2026-08-13 pre-market earnings report (both benches and the defense converged on flat); entry re-opens only after the print, gated on gross margin and a check for a live shelf registration — bands below.

What we believe

AIRO Group Holdings (\$8.44, down 67% from its \$25.90 high but already up 48% off its \$5.71 low) is a small drone/aerospace roll-up reporting second-quarter results before the market opens on Wednesday, August 13 — two days from now. Neither side of the trade is takeable before that report.

The long is blocked because the company’s full-year guidance carries real cut risk. Management reiterated 15–25% revenue growth but introduced a new “negative mid-to-high-teens” adjusted-EBITDA guide at Q1 — after already knowing Q1 came in with a gross margin of only 26.6%, less than half its 2025 norm of 58–61%. Hitting the year requires both record second-half revenue and a full margin recovery at the same time, and nobody — including us — has established whether Q1’s margin collapse was one-time product mix or a structural problem. On top of that, management has a demonstrated habit of selling stock into strength: it priced a follow-on offering roughly 90 days after its June 2025 IPO — inside the 180-day lockup, meaning the banks waived it — and used about \$19.6M of company cash to buy 1,116,312 shares back from insiders at \$18.50, more than double today’s price ([closing press release](#)). Share count grew 67% in a year. Any post-earnings rally is likely to be met with new supply.

The short is blocked because it is crowded: 20.3% of the small 17.3M-share float is already sold short, with 7.4 days to cover, and the company publicly announced a major RQ-35 drone delivery on July 16. A good print could squeeze violently. The bear case is not a secret.

So the belief is narrow and honest: this is a genuinely two-sided coin flip two days before a decisive data point, and the right position for a coin flip is zero. The decisive line on Wednesday is **gross margin** — it tells us whether Q1 was an accident or the new reality.

What the market believes

The stock is priced for distress-with-doubt: down two-thirds from the high, but bid up 48% from the low. Only three analysts cover it (average target \$16.50, roughly double the price), so “the market” here is thin. The short side — over a fifth of the float — believes the guidance is broken and dilution is coming. The residual longs believe the Q4 2025 quarter (\$48.3M of revenue at a 61.4% gross margin, with positive operating income) proves the model works and Q1 was lumpy delivery timing, a view the July delivery announcement supports. The market has, in effect, already had our argument with itself.

Why we might have edge

- **The governance finding is real and mostly unremarked.** The inside-the-lockup follow-on with a company-cash insider buyback at \$18.50 is a management-facilitated insider exit at 2.2× today’s price. Both benches confirmed it from primary press releases (our red bench actually undercounted it — the true figure is 1,116,312 shares, not 978k). This caps how much we should ever pay for a recovery: strength gets sold.
- **We did the seasonality work the bears skipped.** The popular bear line — “the guide is arithmetically dead” — fails when you lay out 2025’s actual quarters (\$11.8M, \$24.6M, \$6.3M, \$48.3M). The model is violently back-loaded and has already printed the kind of quarter the guide needs. Knowing the guide is *at risk* but not *dead* is a better-calibrated view than either crowd holds.
- **A satellite check nobody else ran.** Our building-footprint analysis of the sole US RQ-35 production site shows no physical expansion since 2021, which cuts against the company’s “production scale” press-release language — and, symmetrically, against any easy assumption that capacity for a 3.6× second-half ramp exists.
- **We know what we’re waiting for.** One number (gross margin) plus one filing check (is a shelf registration live?) converts Wednesday’s noise into a decision.

Why it might be priced in

Symmetry demands we say it: with 20% of the float short, the bear arithmetic on the guide is the *consensus* speculative position, not an insight. The three-analyst coverage means the \$16.50 target proves thinness, not mispricing — our own blue bench warned against reading “crowded” as “correctly priced,” but it equally blocks us from claiming the downside is ours alone. The dilution risk is visible to anyone who reads the September press release. And the stock’s 48% bounce off the low suggests some recovery hope is already paid for. Whatever edge exists here is in *discipline and timing*, not in a fact the market lacks.

What we checked ourselves

claim	how checked	found	confirmed?
Earnings date 2026-08-13 (pack flagged UNCONFIRMED)	Company press release via BusinessWire + Earnings Whispers	Confirmed, before market open; 2025 precedent call at 8:00am ET	YES — pack upgraded
“Guide is arithmetically near-dead” (defense centerpiece)	Rebuilt 2025 quarter-by-quarter revenue/margins	Q4’25 printed \$48.3M at 61.4% GM with positive operating income — the model <i>can</i> do what the guide needs. Bench error: the defense’s “near-dead” phrasing was killed; red’s FATAL counter-tag was also overclaimed (reduced to sizing-grade) because whether Q1’s 26.6% GM is transient or structural remains unestablished.	PARTLY — cut risk real, “dead” refuted

claim	how checked	found	confirmed?
Short interest / “bear is unpriced”	Float and short-interest statistics re-pulled by both benches	3.51M shares short = 20.3% of the 17.3M float, 7.4 days to cover	YES
Insider repurchase in the Sept 2025 follow-on	Primary closing press release	1,116,312 shares repurchased from holders at \$18.50 (~\$19.6M company cash), offering priced ~day 90 of a 180-day lockup. Bench error: red said 978k shares — that was the pre-upsize pricing figure; blue corrected it upward from the primary source.	YES — larger than either bench first had
Share count / dilution	Statistics service (secondary)	Shares out +67.4% YoY to 31.45M; span includes the IPO itself, so the cleanest reflex evidence is the day-90 follow-on alone (blue trimmed red’s framing)	YES, with that caveat
Q2’25 comparison base	Quarterly table	\$24.55M at 61.2% GM — even a good Q2’26 can show negative year-over-year optics	YES
“Run-rate ~\$26.4M/quarter” (defense)	Same table	No run-rate exists — Q3’25 was \$6.3M; the average hides 7.7× quarter swings. Bench error (defense side): framing rejected.	REFUTED
Production-site expansion	Sentinel-2 satellite change detection, 2021→2026	No construction activity at the sole US RQ-35 site	YES (weighs against both bull and easy-recovery stories)
Warrant/option/convertible overhang; TRA and predecessor roll-up accounting	Attempted SEC pulls	Not obtained — SEC endpoints returned 403 on both benches all session. Every per-share figure above rests on the secondary 31.45M count. Bench process errors: red consulted a detector not in the atlas (albuquerque_permits) and skipped one that is (upc_tra_value_extraction).	NO — open gap
Live-price rule (always quote from IBKR)	IBKR permission denied this session	Tape is from the evidence pack (Yahoo) instead	NO — rule unexecutable this session

PROPOSED ENTRY BANDS

The courts say no-entry now. These are the reopen bands, taken from the benches’ own math:

- **Pre-print (now through 2026-08-13 open): NO POSITION, either direction. No resting orders.** Long blocked by guide-cut risk plus the sell-into-strength reflex; short blocked by 20% short interest and 7.4 days to cover.
- **Reopen band A — post-print, good outcome:** Q2 gross margin $\geq 40\%$ and full-year guidance intact $\Rightarrow$ eligible for a **STARTER position only** (roughly 0.5% of book), and *only after*

confirming no live shelf registration or at-the-market program is on file — if one is, stand down until it's understood, because a rally into an open shelf is exactly the September pattern.

- **Reopen band B — post-print, bad outcome:** Q2 gross margin < **35%** or the guide is cut ⇒ no bottom-fishing; the name goes to a **two-quarter re-prove** (two consecutive quarters of ≥ 40% gross margin before any entry discussion).
- **Gray zone (GM 35–40%, guide intact):** treat as unresolved; wait for the 10-Q's equity note (the still-unpulled warrant/cap-structure detail) before any action.
- **Price context for those bands, from the pack tape:** \$5.71 is the 52-week low (a break below it post-print is a fresh dislocation review, not an automatic buy) and \$10.73 is the 26-week high (a squeeze through it into an open shelf is a signal to stay away, not chase).
- **Exits/trims:** none — there is no position.
- **Catalyst date: 2026-08-13, before market open, confirmed by company press release.**

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 5.71 (deck-provisional: 52-week low breach post-print reopens a dislocation review, not an automatic buy)
- filing watch: 8-K until 2027-02-07 (deck-provisional: Q2 print 2026-08-13 BMO — capture gross margin and guide language, the decision keys)
- dated pack AIRO|2026-08-13: AIRO: Q2 2026 earnings before market open; decisive line = gross margin (>=40% + guide intact vs <35% or cut) (date confirmed=True)

What remains unverified

- **The capital structure.** SEC filing endpoints returned errors all session on both benches; the warrant/option/convertible note, the TRA/charter terms, and the roll-up's predecessor accounting are all unread. Every per-share number in this deck rests on a secondary-source share count of 31.45M.
- **Whether Q1's 26.6% gross margin is mix or structure.** This is the single question the print answers; nobody on either bench established it, and red explicitly listed it as the thing that would change its mind.
- **The character of the short interest.** 20.3% of float could be directional bears or arbitrage; borrow data was not pulled. The squeeze-risk assessment changes if it's the latter.
- **Customer identity.** The RQ-35 buyer is an unnamed non-US customer; export-control and program-of-record screens could not run against an undisclosed counterparty, and no US defense-budget line anchors the revenue.
- **The earnings date's exact call logistics** are inferred from the 2025 precedent (8:00am ET); the date itself is confirmed.

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